SARDAARJI

TRADING STARTER SYSTEM

The Simple Trading System

A clear, rules-based method to trade with discipline instead of emotion.

This system will not make you rich overnight — nothing will. What it will do is give you a repeatable process, so your results come from rules you can follow and improve, not from guessing. Read it once, then keep it beside you when you trade.

The one rule that matters most

RULE #1 — PROTECT YOUR CAPITAL

Never risk more than 1% of your account on a single trade. If your account is $10,000, the most you may lose on one trade is $100. This single habit is why professionals survive long enough to win.

Step 1 — Only trade with the trend

Do not fight the market. Before any trade, decide the trend:

- Uptrend: price is making higher highs and higher lows, and sits above its 50-period moving average. Only look for BUYS.
- Downtrend: price is making lower highs and lower lows, below the 50-period moving average. Only look for SELLS (or stay out).
- Sideways / unclear: no trade. Cash is a position.

Step 2 — The setup (pullback entry)

In an uptrend, the highest-probability entry is a pullback — when price dips toward a support level or the moving average and then shows strength again.

- Wait for price to pull back to a support zone or the 20/50 moving average.
- Look for a sign of strength: a strong green candle closing back up, or a bounce off support.
- Enter on that confirmation — never on hope while price is still falling.

Step 3 — Entry, stop-loss and target

- Entry: the confirmation candle described above.
- Stop-loss: just below the recent swing low (for buys). This is where you admit the idea was wrong.
- Target: aim for at least 2x your risk. If your stop is $2 away, your target should be at least $4 away. This is a 1:2 risk-to-reward ratio.

WHY RISK-TO-REWARD MATTERS

With a 1:2 ratio you can be wrong more often than right and still make money. Win just 40% of the time and you are profitable. That is the mathematical edge.

Step 4 — Position sizing (how many shares)

This tells you exactly how much to buy so a loss never exceeds your 1% rule:

THE FORMULA

Shares = (Account x 1%) ÷ (Entry price " Stop price).   Example: $10,000 account, entry $100, stop $97. Risk per share = $3. Shares = $100 ÷ $3 = 33 shares.

Tip: use the free Position Size Calculator on the SARDAARJI website — it does this math for you instantly.

Step 5 — Journal every single trade

The traders who improve are the ones who write things down. For every trade, record: the symbol, why you entered, your entry/stop/target, and how you felt. Review weekly and look for patterns in your losses.

- Log it in the SARDAARJI Trade Journal — it calculates your win rate and equity curve automatically.
- After any loss, close the screen for 30 minutes. This breaks the urge to "revenge trade".

Your pre-trade checklist

Do not click buy until you can tick every box:

- Is the trend clearly in my direction?
- Is there a real setup (pullback + confirmation), not just a feeling?
- Do I know my exact stop-loss price?
- Is my target at least 2x my risk?
- Have I sized the position so I risk no more than 1%?
- Am I calm — not chasing, not revenge trading?